—Jim Simons, Founder, Renaissance Technologies[5]

Let's start off by examining our coauthor, Wes Gray, a person many would consider an "expert." In fact, in many respects, Wes is eerily similar to Vic Niederhoffer. Wes graduated from an uber-prestigious undergraduate business program at the Wharton School of the University of Pennsylvania and earned an MBA and a PhD in finance from the University of Chicago—sound familiar? Well, it should: This is essentially the same academic training as Vic Niederhoffer.

Upon completion of his PhD, Wes entered academia and spent four years as a full-time tenure-track professor. Wes resigned his post as a full-time academic because he raised almost $200 million in assets from a multibillion-dollar family office and a handful of other ultra-high-net-worth families. This is all uncannily similar to how Niederhoffer started his career. Vic also did his time as a professor, and then left academia after a billionaire (i.e., Soros) gave him a large slug of capital. Let's hope the similarity in the stories between Vic and Wes ends at this stage. The last thing Wes wants to do is blow up multiple asset management firms and lose investor capital. He is also deathly afraid of steamrollers.

Clearly, some people believe Wes is an "expert" and are willing to let him manage a large amount of capital without a multi-decade track record. But why might investors' future experiences differ between Vic and Wes? On paper, the two Chicago finance PhDs are virtually the same. It has been said that the definition of insanity is doing the same thing over and over again and expecting a different outcome. So should we avoid an expert like Wes because he is essentially a carbon copy of Vic?

We think the key difference between Wes and Vic is not related to their financial expertise. The difference is related to their skepticism with regard to their own expertise. On most discretionary, day-to-day aspects of investing, for example, picking individual stock picks or the direction of interest rates, Wes believes firmly that he is completely wrong almost all of the time, whereas Vic believed he could master the markets. And while an expert with no faith in his or her ability sounds counterintuitive, it is actually invaluable because this approach to being an expert minimizes the chance for overconfidence. In fact, Wes has established internal firm structures to ensure that he is reminded on a frequent basis that he is a